

\$17 trillion. The estimated size of the U.S. residential real estate market is \$16 trillion, and the direct institutional real estate market is \$9 trillion. In fact, the traditional public, liquid markets of stocks and bonds are smaller than the total wealth held in illiquid assets.

Investors Hold Lots of Illiquid Assets

Illiquid assets dominate most investors' portfolios. For individuals, illiquid assets represent 90% of their total wealth, which is mostly tied up in their house—and this is before counting the largest and least liquid component of individuals' wealth, human capital (see chapter 5). There are high proportions of illiquid assets in rich investors' portfolios, too. High net worth individuals in the United States allocate 10% of their portfolios to “treasure” assets like fine art and jewelry. This rises to 20% for high net worth individuals in other countries.⁷

The share of illiquid assets in institutional portfolios has increased dramatically over the past twenty years. The National Association of College and University Business Officers reported that, in 2011, the average endowment held a portfolio weight of more than 25% in alternative assets versus roughly 5% in the early 1990s. A similar trend is evident among pension funds. In 1995, they held less than 5% of their portfolios in illiquid alternatives, but today the figure is close to 20%.⁸

Liquidity Dries Up

Many normally liquid asset markets periodically become illiquid. During the 2008 to 2009 financial crisis, the market for commercial paper (or the *money market*)—usually very liquid—experienced “buyers' strikes” by investors unwilling to trade at any price. This was not the first time that the money market had frozen: trading in commercial paper also ceased when the Penn Central railroad collapsed in 1970. In both cases, the money market needed to be resuscitated by the Federal Reserve, which stepped in to restore liquidity.

During the financial crisis, illiquidity also dried up in the repo market (which allows investors to short bonds), residential and commercial mortgage-backed securities, structured credit, and the auction rate security market (a market for floating rate municipal bonds; see chapter 11). The last example was one of the first markets to become illiquid at the onset of the financial crisis in 2008 and at the time of writing in 2013 is still frozen. This market is dead in its present form.

Illiquidity crises occur regularly because liquidity tends to dry up during periods of severe market distress. The Latin American debt crisis in the 1980s, the Asian emerging market crisis in the 1990s, the Russian default crisis in 1998, and of course the financial crisis of 2008 to 2009 were all characterized

⁷ See “Profit or Pleasure? Exploring the Motivations Behind Treasure Trends,” Wealth Insights, Barclays Wealth and Investment Management, 2012.

⁸ See Global Pension Asset Study, Towers Watson, 2011.